Our difficulties have been manifold. The British Indian Steam Navigation Company was in sole possession of the field and attempted by a great reduction of rates a temporary loss which their established position enabled them to afford to crush their infant rival. Our worth was burdened with the heavy handicap of having to pay up in periodical instalments the purchase money of our vessels, so that, the collection of shares being also behind hand, we had to keep the business going without the necessary working capital. Finally, one of our vessels, the S.S. *Gallia* had long to be idle while fresh boilers were fitted.

These difficulties have now been removed or can be faced. The purchase money has been paid up and the company starts again clear of this incumbrance. The boilers of S.S. *Gallia* are ready and will soon be fitted. As for the rival company, its efforts to strangle the infant company have only revealed where our strength lies. Experience has shown that our merchants decidedly preferred the Swadeshi line even when our cargo rates were two or three times as high as the abnormally reduced rates of our rivals. It has also shown that, though the passenger traffic under the present disadvantageous circumstances has possibilities of loss as well as gain, the coasting traffic brings in sure and large profits. Even the passenger service can be made profitable in the face of the difficulties, if we can start with sufficient advantage in the matter of capital and an assured profit in other directions, so as to afford the necessary facilities to the passengers who are otherwise attracted to the rival line.

To take advantage of these favourable circumstances and get rid of those which are still unfavourable, it is necessary to have

(1) a regular coasting service from Colombo to Calcutta.

(2) a daily service between Colombo and Tuticorin.

(3) fresh outlay so as to increase our fleet to meet these demands.

(4) a substantial working capital.

The Company started on the 16th October 1906 with a proposed capital of 10 lacs divided into 40,000 shares of 25 rupees each. Of these nearly 34,000 shares have been applied for and allotted. The Company has at